Briefs Finance Quarterly Report

The Architecture of Scarcity

How We Invested in Q4 2025

Good morning, Pro Briefers!

AI, the latest moves from the White House, and tech giants like Nvidia all dominated the headlines in 2025.

As an investor, it’s difficult to ignore these things. But last quarter, we did something not a lot of investors were willing to do:

We ignored them.

Not because there were no opportunities - Nvidia, for instance, has set high expectations for itself and has exceeded them consistently so far.

But growth opportunities like this come and go over time because when everyone sees the same opportunity, it stops being an opportunity.

So our investing thesis had to be different if we wanted to outpace the S&P 500.

That led us to take calculated risks, and more often than not, we were rewarded for doing so.What did we do?

We stopped chasing headlines and tweets, and thought deeper into what is fundamentally shifting our economy and market.

We built our entire Q4 strategy around three big ideas:

1. **The Iron-and-Lumber Thesis** - Going one level deeper than the obvious AI plays.

2. **Fortress America** - Betting on America bringing manufacturing back home.

3. **The Second Glance** - Finding value where credit agencies said there was none.

This is the story of how we thought about markets over the last quarter.

Not just what we bought, but *how* we identified opportunities, *where* we looked, *why* we bought it.

Let’s break down how the ideas above impacted our strategy and what investors can expect heading into the rest of Q1 and beyond in 2026.

THE IRON-AND-LUMBER THESIS

AI is here and it's not going anywhere. And the companies powering it - Nvidia, AMD, TSM - have been crushing it so far.

Nvidia just beat a half-trillion dollar revenue estimate - that’s why even our fund holds many major AI companies like Nvidia.

But here's the problem: they're not discoverable anymore.

Every serious portfolio and major fund already owns them.

Are there still gains to be had? *Sure.* But what happens if there is an AI bubble?

What happens when Wall Street eventually shifts its focus again in the coming years?

So we went deeper - looking for opportunities that will not only benefit if AI or other tech stocks do well, but *even* if they underperform.

The California Gold Rush Playbook

Back in the California Gold Rush, thousands of people moved West to strike it rich mining gold.

Most of them went broke.

You know who didn't?

The companies selling picks and shovels.

Every miner needed tools. Whether they found gold or not, they had to buy equipment.

The thesis: The tool makers made money regardless.

Today, Nvidia *is* the pick-and-shovel company. Every AI company needs their chips.

But we asked a different question:

Who's selling Nvidia the iron and lumber to make the picks and shovels?

Following the Money Past the Chips

That led us to follow the money - what does Nvidia and other tech companies need to build chips or data centers, or AI robotics?

We started digging deep into the supply chains for all major tech companies in the AI industry or supplying the AI industry.

We found the things all of these tech companies need to operate:

- **Energy** to run the data centers
- **Critical minerals** for advanced computers
- **Cooling systems** to keep everything from melting
- **Copper wiring** to connect it all
- **Real estate** to house the infrastructure

These are physical bottlenecks - a constraint that needs to be solved by the pick-and-shovel companies.

Demand + a problem = an opportunity for companies, which led us to discover several that were benefiting based on our thesis.

Why This Approach Worked

Just like the gold rush, the gold eventually runs out. But the picks and shovels can be used for more than just gold.

The bottom line: Even if the AI bubble pops, these companies we have identified based on our thesis have time to recover, because they are essential to the entire industry.

If Nvidia falls, the companies supplying copper and energy will feel it - but they may feel it less because they supply the entire industry, plus others like electronics makers.

We shifted our investments heavily into **energy and commodities** - not because of AI hype, but because these supply chains are being fundamentally rebuilt to catch up with demand.

And in early 2026? The World Economic Forum in Davos, Switzerland confirmed what we'd been betting on: **energy and mineral constraints are the primary theme for tech in 2026.**

We didn't just apply this to tech, we looked into biotech and even global markets.

The idea: wherever there's explosive growth, this thesis will apply, because there are material suppliers making quiet money in the background.

FORTRESS AMERICA (REINDUSTRIALIZATION)

The Bipartisan Bet

Our initial thesis led us to one conclusion: The world needs more critical minerals, precious metals, and other resources in order to build the future of technology and defense.

That’s the pick-and-shovels opportunity: whoever controls these minerals will be the ones who benefit the most.

Politics can make agendas from Washington muddy, but over the last few years, both the Biden and Trump administrations seem to agree on one thing:

Bringing manufacturing back to America.

Without owning these resources, we have to rely on other nations. But what if political affiliations change?

President Biden had the CHIPS Act, the IRA, and the JOBS Act. President Trump has beefed up defense and taken stakes in critical mineral and rare earth companies as a result.

But at their core, both Presidents want the same thing: rebuild American production and stop relying on other countries for critical materials.

Why This Matters for Investors

We started looking into where the U.S. is most at risk based on this thesis. We asked ourselves:

Which critical minerals does the U.S. need the most of? here is our nation lacking in manufacturing that it needs to fix in order to be a global leader?

We discovered a massive disconnect hidden in plain sight: The U.S. consumes more than it produces.

We buy critical minerals from China, import chips from Taiwan, and rely on foreign supply chains for defense systems and consumer products.

But now? Money is flowing to companies that:

- M**ake things in America**
- **Help America make things.**

As a result, America is investing into American companies, despite some even having shaky financials.

Why? They would rather invest money into an American name, rather than wait until a new company is built from scratch, or invest in a foreign company or country.

Even if a U.S. miner or manufacturer has shaky financials, reindustrialization dollars will boost them.

The government needs them to achieve its goals and several industries need them, too.

This led us to focus on:

- **Uranium producers** in the U.S.
- **Copper miners** operating domestically
- **Defense companies** making components here (not just designing them)

The Long Game

We're not thinking about this as a Q4 play or a 2026 play.

<u>Reindustrialization is a decade-long, or more, Market Shift.</u>

And every administration from here on out will care about securing U.S. supply chains, so this idea isn't going anywhere, any time soon.

That means as part of our thesis, we will continue to look into the minerals resources and manufacturers that help U.S. companies build everything from iPhones to blue jeans, and even weapons.

America is done being dependent - and the companies that are helping to rebuild our manufacturing, supply chains, and industries will be getting more attention for years to come.

THE SECOND GLANCE AT EMERGING MARKETS

Here's the reality: The U.S. is just now building up its reindustrialization engine.

Why? *To compete.* Without picks and shovels companies, minerals, or manufacturing capabilities, the U.S. will continue to fall behind.

But every country on the planet has identified this issue - and the world is now in a race to be the center of manufacturing, critical minerals, AI, tech, and more.

And the world is rapidly changing, too. Economies in Eastern Europe, Africa, Asia, and South America are emerging to become financial and technological powerhouses.

Yes, the U.S. is industrializing - but we must also consider as investors that the U.S. is an aging empire, with political, financial, and other problems that could slow its progress.

So while there's a chance the U.S. will one day be an industrial powerhouse again, in the meantime, investors are sending their dollars elsewhere to other countries.

These foreign economies are already major producers of critical minerals and manufacturing and have the ability to simply grow faster than the U.S.

So we see this as the opportunity to benefit from both ends of the global economic shift.

Invest in the picks-and-shovels companies helping to reindustrialize America, while also investing in emerging market economies that are growing fast.

And when we started to dig deeper, we found something everyone else was missing.

The Poland Clue

We noticed something halfway through 2025 - emerging markets were crushing it.

For context: emerging markets are economies transitioning from "developing" to "developed." Think: countries that are growing fast but haven't hit their peak yet.

Our fund had been quietly watching Poland - an Eastern European economy that everyone lumps in with emerging markets.

Some of our top performers of 2025 came from Poland - that led us to dig deeper and ask: “What other emerging markets are seeing an influx of investor money and why?”

The Bank of America Blueprint

We were already tracking emerging markets by the middle of last year as we spotted this opportunity early.

Here's what we anticipated:

1. **Weaker dollar** - As the Fed cut rates, the dollar would weaken.

2. **Valuation gap** - Emerging market stocks were trading at multi-decade low valuations compared to the S&P 500.

3. **Commodity supercycle** - Copper, oil, and other resources benefit countries like Brazil and Chile.

This gave our thesis a framework and helped us to identify specific opportunities.

Our thesis was then confirmed by Bank of America with its report called "The Great Rotation".

It argued that U.S. dominance (especially in AI and tech) would give way to an **emerging market resurgence** in the second half of 2025.

What We Found

We identified two major factors driving emerging market success:

Factor #1: Credit agencies are living in the past.

S&P and Moody's rate almost all emerging market debt as junk bonds - even when those bonds have **perfect payment histories.**

This is despite the bonds being denominated in U.S. dollars and backed by the World Bank trusts (meaning if they default, the trust pays out).

Why are they rated so poorly? It looks like U.S. credit agencies automatically downgrade any country that isn't a major U.S. ally - regardless of actual risk.

This is what has been traditionally done for decades - but to us, it has created an opportunity hidden in plain sight.

Invest into these emerging markets while no one is looking - and when the world finally catches up, our portfolio will benefit.

Factor #2: BRICS is rising.

When we looked at which emerging markets were outperforming, they had one thing in common: they were part of the **BRICS alliance** (Brazil, Russia, India, China, South Africa).

BRICS has been around for over a decade now. But it's gaining more and more influence every year on the global stage.

America is learning into isolationism with its tariff policy meant to bolster our manufacturing and reindustrialization.

As a result, undervalued emerging markets are finding new trade partners, usually with other BRICS countries, strengthening the trade bloc.

We attended conferences and trade shows that bolstered this idea - countries like Brazil weren't just showing up, they were leading conversations in banking and software infrastructure.

Plus, the UAE became a full BRICS member in 2025 - other countries are looking to join the alliance as well.

India is showing economic growth that looks like China in the late 1990s and early 2000s.

They just surpassed Japan as the **4th largest GDP in the world.** Within a few years, they'll likely be up there with the U.S. and China as global GDP leaders.

In short - many of these economies aren’t just “emerging” - they have officially emerged.

As their economies grow, we’re keeping our eye on which industries will benefit the most.

Obviously, the U.S. is still a dominant player in the world and will continue to be for years to come.

But this is the beginning of a multi-year shift where emerging markets start to outpace the U.S. - a shift we feel is too big for investors to ignore.

THE TAKEAWAY: SCARCITY IS THE STRATEGY

Here's what ties all three ideas together: **Scarcity.**

- The Iron-and-Lumber thesis? Physical bottlenecks in supply chains.
- Fortress America? Scarcity of domestic production capabilities.
- Emerging markets? Undervalued assets most investors are ignoring.

In Q4 2025, we didn't chase what everyone else was chasing.

We looked for what was running out, what was being rebuilt, and what was being mispriced.

And as we move into 2026, these three ideas aren't going anywhere. In fact, they're accelerating.

That's because the architecture of scarcity is being built right now.

And the companies solving these bottlenecks may become the next decade's biggest opportunities.